

M/S Jindal Steel & Power Ltd. v. Chhattisgarh State Electricity Regulatory Commission & Ors. (with connected appeals)

Supreme Court of India · Two-Judge Bench · 29 September 2022 · Civil Appeal Nos. 3607-3610 of 2008, with C.A. Nos. 4104-4107 of 2008 · Civil Appeal Nos. 3607-3610 of 2008 (with C.A. Nos. 4104-4107 of 2008) · **Appeals allowed; Appellate Tribunal's order cancelling JSPL's distribution licence set aside (licence restored)**

HEADNOTE

Not a Supply Code case in substance — this is a landmark ruling on the DISTRIBUTION-LICENSING scheme under Sections 9, 10, 14, 15, 19 and 42(2) of the Electricity Act, 2003 (grant/cancellation of a distribution licence to a captive-power-plant owner supplying a private industrial estate, the 'minimum area of supply' Explanation to Rule 3 of the 2005 Distribution Rules, and natural justice before a Section 142 penalty), rather than the consumer-facing billing/assessment/disconnection/security provisions that are the focus of this Supply Code jurisprudence project. Recorded here only for completeness of the source corpus; flagged OFFTOPIC to the provision index (though the general Electricity Act framework it construes forms useful background).

HOLDING-UNITS

INTERPLAY · OFFTOPIC::distribution-licensing-minimum-area

Distribution licence grant/cancellation; minimum-area Explanation is a guideline, not a rigid bar, on these unusual facts; penalty requires a hearing

HOLDING

The Supreme Court restored a distribution licence earlier granted to JSPL (a captive-power-plant owner, governed by s.9 not s.10 of the Act) to supply a private industrial estate it had itself developed under a State Government MoU/permission predating the 2003 Act's full commencement and the 2005 Rules. The Appellate Tribunal had wrongly treated the Explanation to Rule 3 (minimum area of supply = a municipal area or revenue district) as an inflexible bar to a second/parallel licence in a smaller area; the Court held the historical background — investment made, the State's own power shortage, CSEB's admitted inability to supply the area, and long-term supply contracts already in place before the Rules existed — justified treating the case as an exception, and estoppel/vested-rights principles militated against retrospectively invalidating the licence. Separately, the Commission's Rs. 1 lakh penalty under s.142 for supplying without a licence was rightly set aside by the Tribunal for want of a hearing, since the licensing proceeding itself never framed the question of JSPL's liability to penalty.

¶ the licensing/minimum-area/penalty discussion (unnumbered order, ~57-page judgment)

LIMITING FACTS

JSPL, a captive power plant, supplied electricity from 1.3.2004 to industries in a private industrial estate it had developed with State Government concurrence predating the 2003 Act's full force; the State Electricity Regulatory Commission granted it a distribution licence in 2005 for two villages, which the Appellate Tribunal cancelled in 2008 (applying the 'minimum area' Explanation to Rule 3), disrupting supply to ~30 industries and ~4000 employees.

FLAG Recorded compactly given its scale (~57 pages) and its subject (distribution licensing, not Supply Code billing/assessment/disconnection); not exhaustively digested. General electricity-law background only.